

POSC 3710: European Politics

8/24/2026: 20TH-CENTURY EUROPEAN IDEOLOGIES

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Opening Discussion

- What should the government's role be in managing a national economy?
- What differences have you heard about between how the US and European countries do this?
- Where do you think those differences came from?

Industrial capitalism produced enormous wealth — and enormous misery.

What should be done about it?

MARX

Abolish it

- Private ownership of the means of production is the problem
- Capitalism generates the class that will overthrow it
- Revolution, then a classless society

HAYEK

Protect it

- Planning cannot aggregate dispersed knowledge
- Central direction of the economy requires direction of people
- Markets as a discovery procedure and safeguard against government

THE THIRD ANSWER

Tame it

- Keep markets, but constrain and compensate for them
- Social democracy takes this route by ballot, fascism by force
- We take these up on 8/26 and 9/9

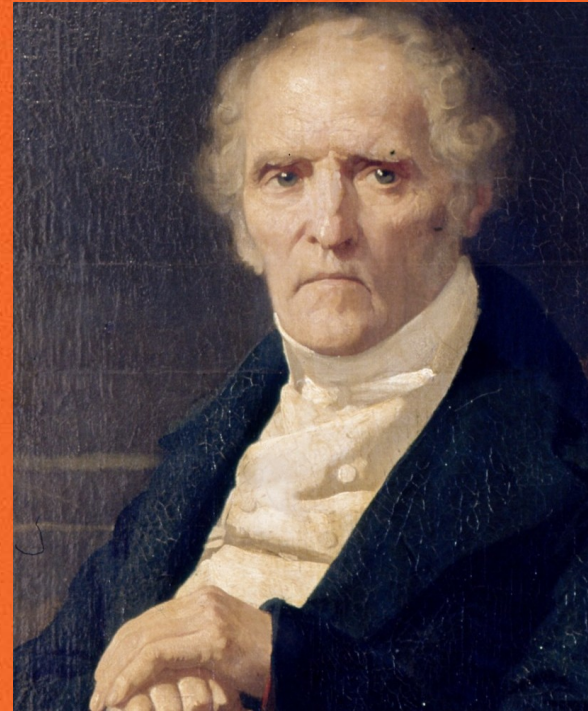
Before Marx: Early Socialists



Henri de Saint-Simon
1760-1825



Robert Owen
1771-1858



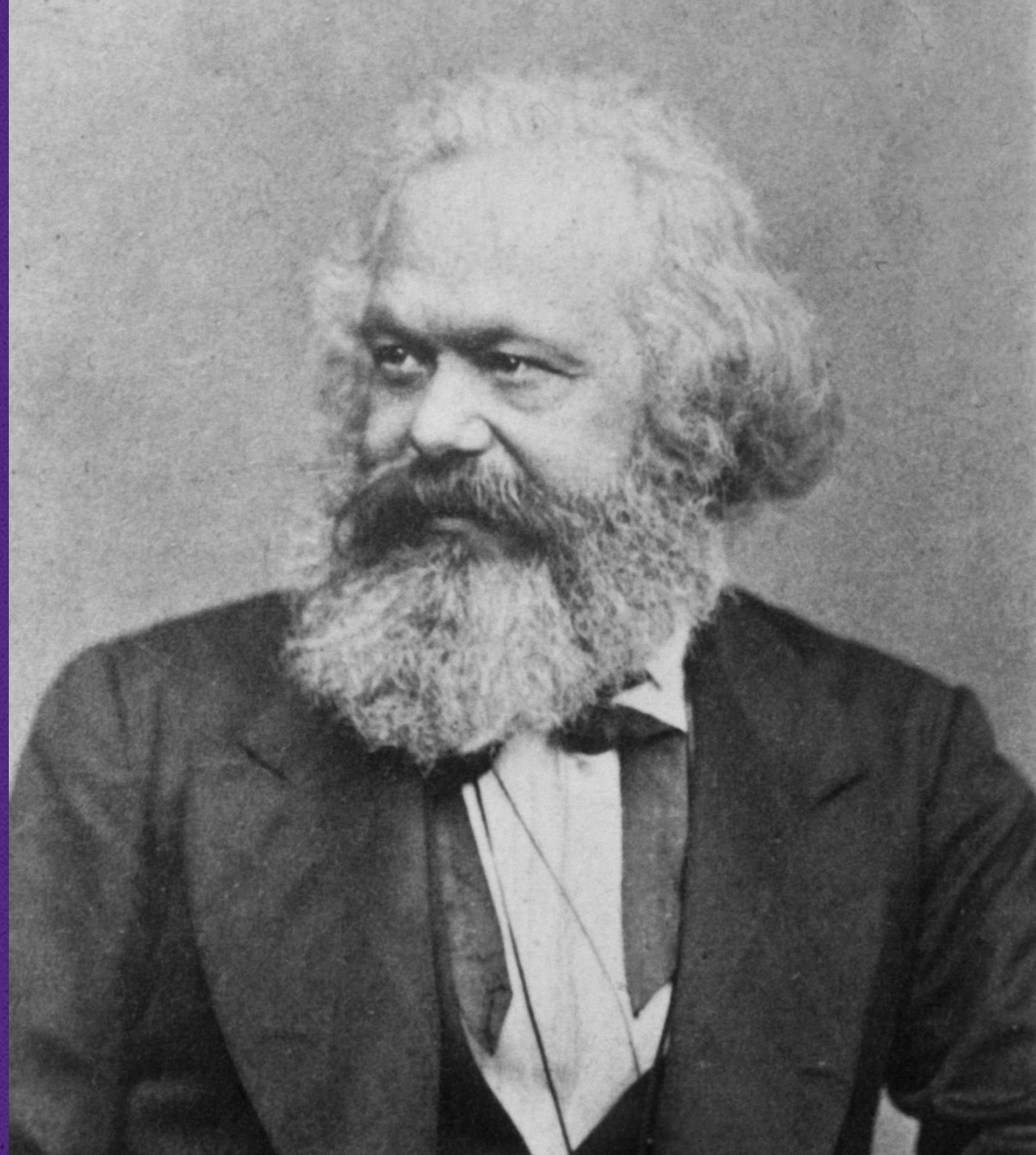
Charles Fourier
1772-1837



Pierre-Joseph Proudhon
1809-1865

Karl Marx

- 1818 — born in Trier
- 1841 — PhD in philosophy
- 1845 — Manchester, with Engels
- 1848 — The Communist Manifesto
- 1867 — Capital, vol. 1



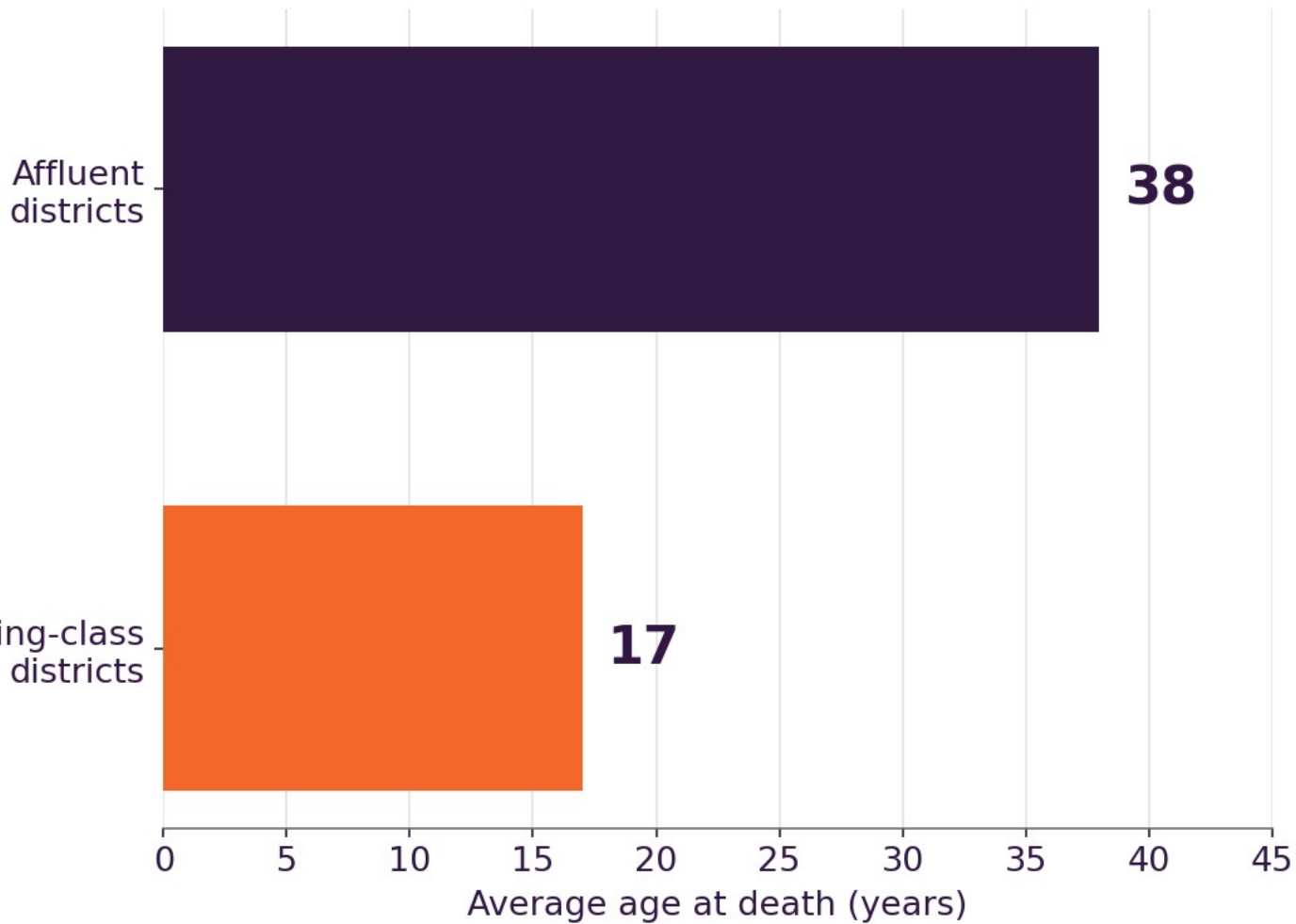
Marx and Manchester: Capitalism at Its Most Extreme

- Average age at death, working-class districts: 17
- Average age at death, affluent districts: 38
- Half of all children did not live past five
- Twelve-hour days [6 days a week]; no sick pay, time off, pension, or insurance

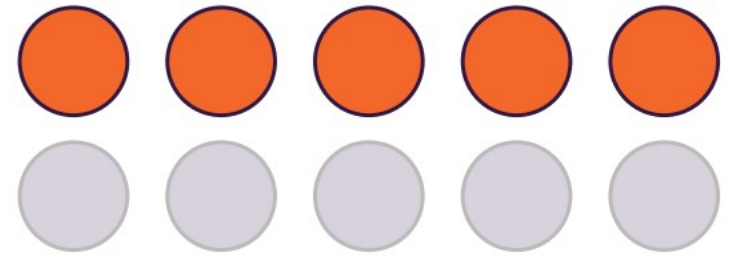


The conditions Marx was writing about

Manchester, 1840s



Of every 10 children born...



five did not live past age five

Source: figures as cited in Rule, *The Labouring Classes in Early Industrial England*

Understanding Marx's Context

- Key Factors
 - *Very* Rapid Industrialization
 - Rise of Worker Movements/Socialist Ideas
 - Failed 1848 Revolutions
 - New 'Scientific' Theories
 - Truly appalling conditions for labor



Reading Discussion: Bourgeois and Proletarians

- What is the force that defines human history, according to Marx?
 - Is he right? If not, what are some alternatives?
- Who are the two opposing camps in society?
 - Does this apply to 21st century society?
- What impact did capitalism have on social order?
- How does Marx think revolution happens?

What Marx Actually Argued

- Capitalism generates its own contradictions
- Workers are alienated from their labour
- History moves through class struggle
- The state reflects the owning class

What's Missing in Marx?

- Detailed plans for what Communism might look like
- Blueprint for successful revolution
- How a socialist economy will be run
- What if capitalism makes (some) workers rich too?

Evaluating Marx

- Right: capitalism is dynamic, crisis-prone, and relentlessly reshapes society
- Right: class shapes life chances, and economic power translates into political power
- Wrong: the revolution came in agrarian Russia, not industrial Britain
- Wrong: workers did not steadily immiserate — real wages rose, and they organized instead
- Open: whether the concentration of capital he described is happening again



Donald
@getfiscal

Follow



me: "So, Karl Marx, that's basically what the world is like in 2018. What's your analysis of the situation? Is capitalism still doomed?"

Karl Marx: "Holy [REDACTED], you went to the moon?"

me: "Does communism still have a future?"

Karl Marx: "The moon in the [REDACTED]ing sky?"

4:44 PM - 10 Apr 2018

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192



925



Hayek and The Road to Serfdom

- Born in Austria-Hungary in 1899
- Moves to the LSE in 1931
- Hugely influential on right-wing parties in Europe
 - Particularly on Margaret Thatcher (and Ronald Reagan), but also Liberal parties throughout Europe.
 - Opposed “Conservative” label, saw himself as a classical liberal (Markets and Freedom)
- Road to Serfdom is his best known popular work (1944)
- Nobel Prize in Economics in 1974



Two traditions, not two ends of one line

LIBERAL

- Starts from the individual and their rights
- Wary of concentrated power: state, church, or monopoly
- Rule of law, constitutional limits, free exchange
- Change through reform and argument
- Grew up against absolutism and aristocratic privilege

CONSERVATIVE

- Starts from inherited institutions and social order
- Wary of abstract reason and rapid change
- Nation, church, family, established hierarchy
- Change should be gradual and organic
- Grew up in reaction to the French Revolution

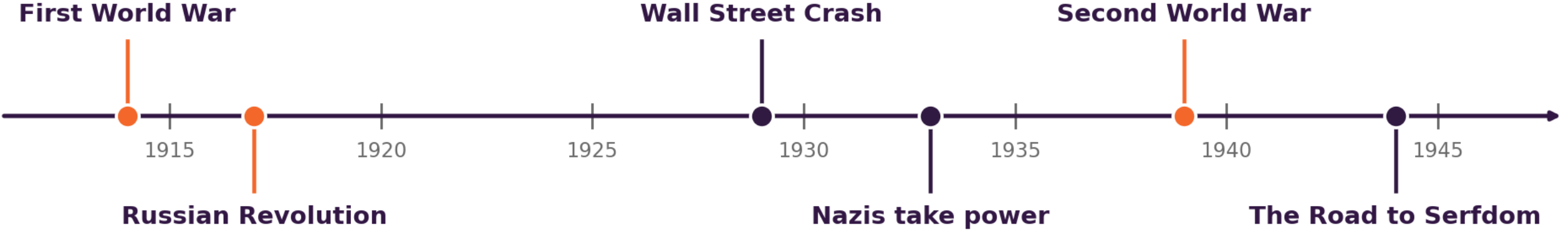
In American Politics, we would probably call Hayek a conservative (at least on economic issues). But, Hayek called himself a liberal. He titled an essay "Why I Am Not a Conservative." This is because Liberal means something totally different everywhere but the US!

The same words mean different things

	In the United States	In Europe
“Liberal”	Centre-left. Welfare state, social progressivism, the Democratic Party.	Pro-market and pro-individual-rights. Often a centre-right party: the FDP, the VVD. Sometimes you see left liberals too (UK: Liberal Dems)
“Conservative”	Free markets plus social traditionalism, fused into one movement. The Republican Party.	Supportive of traditional social order, the church, aristocracy, perhaps monarchist/anti-democratic.
“Social democrat”	Rarely used, and often heard as a synonym for socialist. Sometimes confused with Democratic Socialist or DSA.	A major governing tradition that combines support for markets with a strong welfare state.

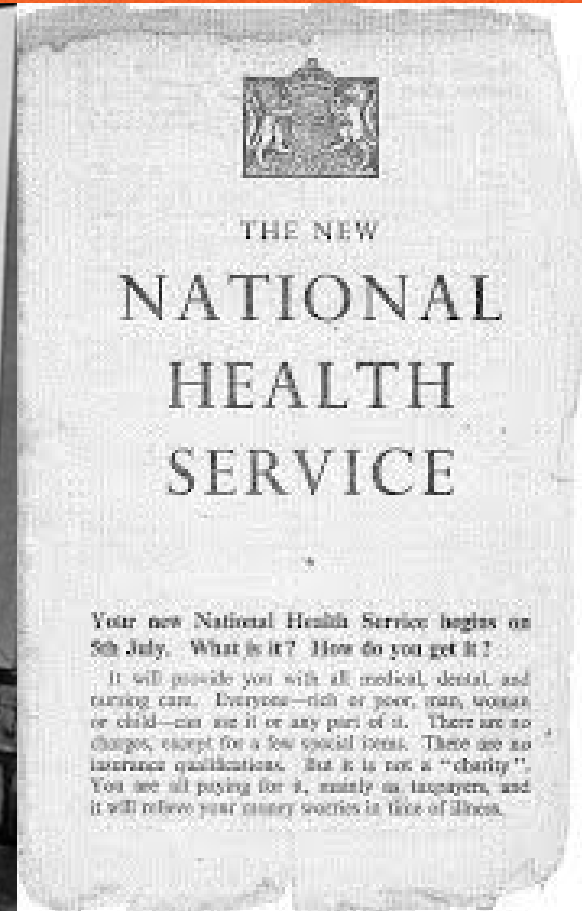
When a European calls someone a liberal, they are not calling them left wing!

Europe in crisis, 1914-1945



Why Planning Looked Like the Future

- Wartime planning had worked
- Soviet industry grew fast
- Never another Depression
- Faith in scientific management



Hayek's Core Claim: The Knowledge Problem

- The knowledge an economy runs on is dispersed, local, and often tacit
 - No planner can gather it, because much of it cannot be written down
- Prices are how that scattered knowledge gets communicated and acted on
- So planning fails for an informational reason, before any argument about incentives
- And the political claim: directing an economy means directing the people in it



What should a banana cost?

Discussion

- Why does Hayek think planning cannot match a market?
- Does that argument hold up in an age of enormous datasets and machine learning?
- Is the road from planning to tyranny as short as he claims?
- Whose objections would Marx have to answer here — and vice versa?

Where we go next

- Neither answer won outright. Post-1945 Europe took the third road
- Wednesday: how Europe democratized
- Then: Alternatives to Communism and Liberals – Fascism, Social Democracy and Christian Democracy
- Keep the question from today's first slide in mind all semester. What role should the government play in the economy? We will see lots of alternatives!

Welcome to the Federal Republic of Clemson

- A parliamentary democracy of 100 seats, six parties
- You will be an MP: join a party, campaign, contest an election, bargain, govern
 - You will also be assigned a specific “portfolio”
- Role preference survey goes out this week, due Friday
- Party assignments are unveiled next Week